The Research, Development and Innovation scheme will push private sector to explore sunrise sectors

THE BENEFITS

For a country that spends less than one per cent of its GDP on R&D, this investment in "people, economy and innovation" is imperative. The contribution of the Indian industry in R&D is even more worrisome—just 0.2 per cent of GDP, according to a 2024 report published by the Foundation for Advancing Science and Technology, India.

The RDI scheme will nudge the private sector to invest and venture into deep tech and sunrise sectors, a major step in creating strategic autonomy in technology. Add to that the jobs it will create, and we could be looking at a real game-changer. ■

tem and achieve universal coverage by 2047. The reform aims to provide foreign investors full operational control, freeing them of the burden to find and collaborate with Indian partners. It will also grant domestic players more flexibility.

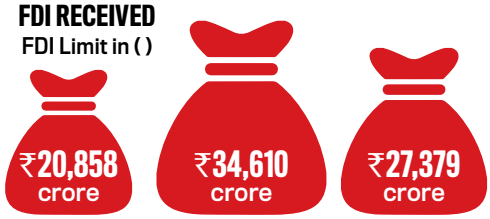
Since the introduction of FDI in 2000, the insurance sector has received Rs 82,847 crore from foreign shores as of September 2024. Removing the FDI cap completely is expected to attract fresh capital, enabling insurers to adopt advanced technologies, strengthen distribution networks, enhance com-

With 100% FDI in insurance, the govt aims to achieve universal coverage by 2047

petitiveness and improve insurance penetration. The Department of Financial Services estimates the sector will grow at 7.1 per cent annually over the next five years, outpacing global markets. However, the move faces potential opposition from political rivals and even some RSS affiliates, who are not convinced with the terms to repatriate dividends and the reinsurance avenues. ■

THE FDI INFUSION

The government has been progressively relaxing FDI limit in insurance sector



*till Sept. 2024

UNION BUDGET 2025-26

EXPORTS

India's Trade Turbocharged

India is ramping up its export ecosystem with a multi-pronged strategy. An Export Promotion Mission with an outlay of Rs 2,250 crore will drive efforts across the commerce, MSME and finance ministries, improving access to export credit, facilitating cross-border factoring support and helping MSMEs tackle non-tariff barriers. A digital platform, BharatTradeNet (BTN), will streamline trade documentation and financing, complementing the Unified Logistics Interface Platform. To enhance integration with global supply chains, key sectors will be identified for manufacturing support, with facilitation groups focusing on select products. And a high-level committee will review non-financial recommendations within a year. The budget also lowered customs duties on a few strategic inputs and relaxed certain regulations to boost export-oriented sectors such as leather, marine products and handicrafts.

The Export Promotion Mission will help identify effective ways to navigate the export scene

KEY MEASURES

- Export Promotion Mission with sectoral and ministry targets
- Customs duty cuts on a few strategic inputs. Regulations relaxed to boost export-oriented sectors
- BharatTradeNet to align trade operations with international trade practices
- India's trade deficit widened to **$37.84 billion** in Nov. 2024. The budget proposals aim to bridge it
- India's export target is **$2 trillion** by 2030

THE BENEFITS

Setting up an Export Promotion Mission will help the country identify effective ways to navigate the export scene at a time countries are turning highly protective of their domestic market. "This initiative will particularly benefit MSMEs, which play a crucial role in India's export landscape," says Ashwani Kumar, president of the Federation of Indian Export Organisations. Investments in port modernisation, logistics infrastructure and digital trade platforms will reduce transaction costs and improve the efficiency of cross-border trade. Meanwhile, BTN is expected to reduce administrative burdens, increase efficiency and promote transparency. ■